2 UTILITY ANALYSIS

(Total Marks : 07) **(Marks with Option : 10)**

MEMORY CHART

1 UTILITY

Utility is a power or capacity of a commodity or service to satisfy a human want.
E.g. Water, pen, doctor service, lawyer service, etc.

2 FEATURES OF UTILITY

(1) It is a **relative concept**. E.g. Woollen clothes → in winter.
(2) It is a **subjective concept**. E.g. Walking stick to an old man.
(3) It is ethically **neutral concept**. E.g. Knife, gun, rope.
(4) It **differs from usefulness**. E.g. Liquor, drugs.
(5) It **differs from pleasure**. E.g. Medicines, injections.
(6) It **differs from satisfaction**. E.g. Washing powder, soap.
(7) It **cannot be measured**.
(8) It is **multipurpose**. E.g. Electricity, wood, steel.
(9) It **depends on intensity of want**. E.g. Food for hungry person.
(10) It forms **the basis of demand**.

3 TYPES OF UTILITY

(1) Form Utility
- Created due to change in shape of material.
  E.g. Toys from clay, furniture from wood, etc.

(2) Place Utility
- Created due to change in place of commodity.
  E.g. Woollen clothes at cold places than at warm places.

(3) Service Utility
- Created due to services provided by professionals.
  E.g. Services of doctors, lawyers, etc.

(4) Knowledge Utility
- Created due to increase in knowledge of a product.
  E.g. Mobile phone, computer, etc.

(5) Possession Utility
- Arises due to transfer of ownership.
  E.g. Transfer of goods from sellers to buyers.

(6) Time Utility
- Created due to change in time of utilization of a commodity.
  E.g. Blood bank, a duster to a teacher

4 CONCEPT OF UTILITY

Total Utility (TU)
- It refers to the aggregate of utility derived by a consumer from all the units of a commodity available at his disposal and consumed at a particular point of time.

Marginal Utility (MU)
- It refers to the additional utility derived by a consumer from an additional unit of a commodity consumed.

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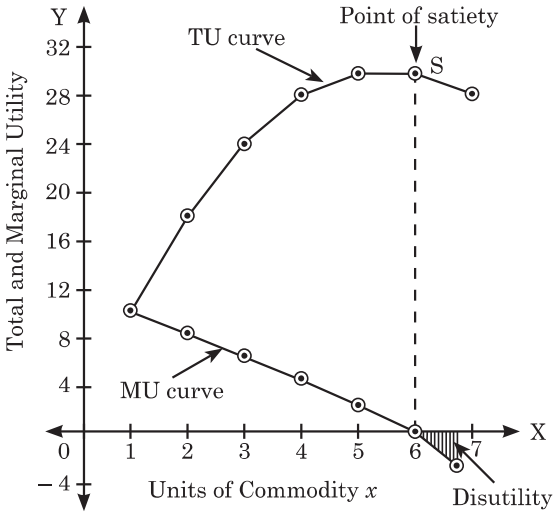
5 RELATIONSHIP BETWEEN TOTAL UTILITY AND MARGINAL UTILITY

(a) Total Utility increases → Marginal Utility decreases.
(b) Total Utility becomes constant → Marginal Utility becomes zero.
(c) Total Utility declines → Marginal Utility becomes negative

Units of x	Total utility	Marginal Utility
1	10	12
2	18	8
3	24	6
4	28	4
5	30	2
6	30	0
7	28	–2



6 LAWS OF DIMINISHING MARGINAL UTILITY

(a) Proposed by : Prof. Gossen
(b) Propounded by : Prof. Alfred Marshall, "Principles of Economics" – 1890
(c) Meaning : Utility derived from a commodity diminishes with reduction in the intensity of a want.
(d) Definition : "Other things remaining constant, the additional benefit which a person derives from a given increase in his stock of a thing, diminishes with every increase in the stock that he already has."

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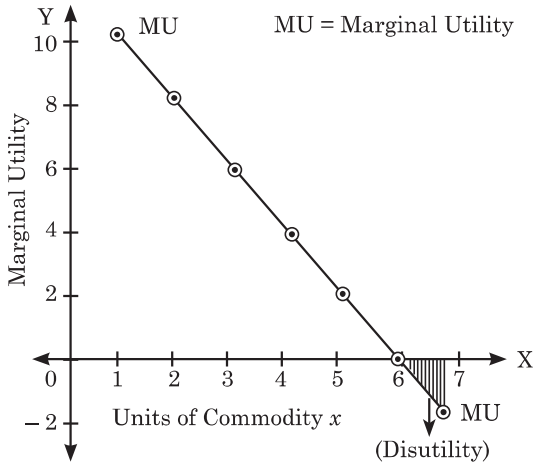
7 ASSUMPTIONS TO LAW OF DIMINISHING MARIGNAL UTILITY

- (1) Rationality
- (2) Cardinal measurement
- (3) Homogeneity
- (4) Continuity
- (5) Reasonability
- (6) Constancy
- (7) Divisibility
- (8) Single want

8 LAWS OF DIMINISHING MARGINAL UTILITY

Units of x	Marginal Utility
1	10
2	8
3	6
4	4
5	2
6	0
7	–2



9 EXCEPTIONS TO THE LAW OF DIMINISHING MARGINAL UTILITY

(1) Hobbies (2) Miser (3) Addictions (4) Power (5) Money

10 CRITICISMS OF THE LAW OF DIMINISHING MARIGNAL UTILITY

(1) Unrealistic Assumptions

(2) Cardinal Measurement

(5) A Single Want

(3) Invisible Goods

(4) Constant Marginal Utility of Money

11 SIGNIFICANCE OF LAW OF DIMINISHING MARGINAL UTILITY

(Reduced Syllabus for 2020-21)

12 RELATIONSHIP BETWEEN MARGINAL UTILITY AND PRICE

Relation	Conclusion
MU x > Price x	— Intra Marginal Units → Consumer willing to buy
MU x = Price x	— Marginal Unit → Consumer's Equilibrium
MU x < Price x	— Extra Marginal Units → Consumer not willing to buy

The following schedule explains relationship between Marginal Utility and Price:

No. of units	MU / units of x	MU in terms of money 1 unit = ₹10	Market Price / unit 1 unit = ₹10	Comparison between MU and price
1	10	100 (10 × ₹10)	₹50	100 MU > ₹50
2	8	80 (8 × ₹10)	₹50	80 MU > ₹50
3	7	70 (7 × ₹10)	₹50	70 MU > ₹50
4	5	50 (5 × ₹10)	₹50	50 MU = ₹50
5	3	30 (3 × ₹10)	₹50	30 MU < ₹50
6	1	10 (1 × ₹10)	₹50	10 MU < ₹50

Focus on the following questions: Chatur's Important Questions

Q.1. State and explain the law of diminishing marginal utility with exceptions.
[**Note:** *All laws have to be explained with the help of schedule, graph and assumptions.*]

Q.2. Explain the relationship between Total Utility and Marginal Utility.

Q.3. Explain the relationship between Marginal Utility and Price.